

WHAT IF ONE PARTY DEFAULTS?

Sam ghosts you and later refuses to honour the agreement of purchasing wheat from you at ₹50/kg. Since he can buy the wheat from the market at a lower rate, he dishonours the contract with you.



TRADER DISHONOURS THE CONTRACT

In a forward contract, no regulator is involved to ensure the agreement is honoured by the two parties involved. It creates room for **counterparty default risk**.

Although the contract is legally binding, the legal proceedings following the default may be very time-consuming and expensive.